DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

OKRs in Depth and the Round 2 Design Discussion

Week 4 · Lecture 3 · Unit I · From MBO to OKRs, top management commitment, line of sight, and the Round 2 options

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L3 · COMMIT BEFORE THEORY

An OKR that is fully achieved was well set.

Agree or disagree, and say what full achievement tells you.

L3 · LINEAGE

From management by objectives to OKRs

STAGE	IDEA	SOURCE
MBO	Managers and subordinates agree objectives, then self control against them	Drucker (1954)
iMBO at Intel	Few objectives, measurable key results, frequent review	Grove (1983)
OKRs	Ambitious objectives, three to five key results, transparency	Doerr (2018)

Rodgers and Hunter (1991): MBO and productivity

High commitment

Where top management commitment to MBO was high, productivity gains averaged about 56 percent.

Low commitment

Where commitment was low, gains averaged about 6 percent.

The same system, a tenfold difference. The coalition carrying the system decides the result.

Design rules and their theory

GOAL DIFFICULTY

Stretch

Doerr reports that ambitious OKRs at Google treat around 70 percent attainment as success.

MOTIVATED GOAL SETTING

Separate from pay

Tying OKRs to pay invites sandbagging: setting goals one is sure to hit.

BOSWELL (2006)

Line of sight

Employees who understand how their work links to strategy act more in line with it.

L3 · COMMON FAILURE MODES

When an OKR is not an OKR

Task lists

Key results that describe activities rather than outcomes.

Cascade fatigue

Every level rewrites the level above; nothing is set from below.

Silent quarter

Set in week one, reviewed in week twelve: no feedback in between.

L3 · ROUND 2 BRIEF

Replace the legacy appraisal

OPTION	THEORY IT RESTS ON	WHAT IT DEMANDS OF MANAGERS
2A Continuous check in (Adobe)	Feedback, relationship view	Frequent conversations
2B OKR goal system	Locke and Latham; Doerr	Goal quality and reviews
2C Balanced scorecard cascade	Kaplan and Norton	Translating strategy downward
2D Strengths based development	Clifton; Buckingham	Knowing each person well
2E Hybrid HPWS bundle	Pfeffer	Many practices at once

Decision focus: an architecture that can survive Manager Quality of 3.09 at 0.8 one to ones per round. Costs: the portal is the authority.

L3 · STRESS TEST

Which of the five architectures would still work for BT 2026100, who may leave before the first quarterly review?

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